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Tesla Drives on the Edge

Tesla's recent stock surge is a gift investors should accept

By Charley Grant

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A Tesla showroom in Brooklyn, N.Y. The auto maker's total liabilities now stand at nearly \$17 billion compared with \$7 billion a year ago. ANDREW GOMBERT/EUROPEAN PRESSPHOTO AGENCY

Despite a furious recent rally, Tesla Inc. is running on fumes.

The electric-car and clean-energy company reported fourth-quarter sales of \$2.3 billion and an adjusted loss of 69 cents a share on Wednesday. Sales topped analyst estimates, and the stock price was higher in late trading.

But as usual with Tesla, the future matters more than the recent past. Whether Tesla can meet Chief Executive Elon Musk's ambitious timeline to deliver its mass market Model 3 Sedan will dictate whether the share price can stay high.

Tesla announced it expects to deliver about 50,000 of its older Model X and Model S vehicles in the first half of the year. It also said it expects “volume production” of the Model 3 in the fall, in addition to its new solar roofing product.

That sounds promising, but the prediction comes with some caveats. Tesla has developed a record of delayed product launches, and it warned that even a small shift in production timing could have a “meaningful impact on total deliveries.”

The risk for Tesla is running out of fuel to power its growth. Total liabilities now stand at nearly \$17 billion compared with \$7 billion a year ago, before Tesla’s acquisition of SolarCity, Mr. Musk’s solar power venture. Meanwhile, total cash and equivalents on hand amount to just \$3.4 billion. And while another equity issuance seems likely to boost the cash balance in the near future, that cash is likely to go quickly.

To ramp up production of the Model 3 as promised, Tesla needs to boost capital spending. Tesla’s free cash outflow swelled to nearly \$1 billion in the quarter, despite lighter capital spending than expected. Spending was light because Tesla has deferred payment on some capital equipment. It says it is negotiating terms with some vendors and hopes to make some payments after production starts.

Dire finances have never troubled shareholders before. Tesla needs to maintain investor confidence to get whatever cash it needs. The latest test is the resignation of the company’s chief financial officer on Thursday. He will be replaced by the old CFO, who left in 2015. But the recent stock surge of about 50% since Dec. 1 shows that faith in Mr. Musk will be tough to shake.

Still, the dodgy balance sheet, looming electric vehicle competition from traditional manufacturers, and the stock’s exorbitant valuation—more than 200 times expected 2018 earnings—mean investors ought to prepare for the day when the market loses faith in Mr. Musk.

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